

Notes: Custodio, Ferreira, and Matos (JFE, 2013)

Generalists versus Specialists: Lifetime Work Experience and Chief Executive Officer Pay

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1 Big picture

- **Question.** Do CEOs with general managerial skills earn more than CEOs with firm- or industry-specific skills?
- **Core hypothesis.** General managerial capital is transferable across firms and industries. If the CEO labor market increasingly values transferable skills, generalist CEOs should command a wage premium relative to specialist CEOs.
- **Empirical strategy.** The paper constructs a resume-based General Ability Index from lifetime work histories of CEOs in S&P 1500 firms from 1993–2007, then relates this index to compensation, pay mix, CEO transitions, firm tasks, and alternative explanations.
- **Main result.** Generalist CEOs earn an estimated annual pay premium of about 19% relative to specialist CEOs, roughly one million dollars per year.
- **Mechanism evidence.** The premium is strongest when firms hire externally and switch from a specialist to a generalist CEO, and when firms face complex tasks such as restructurings or acquisitions.
- **Pay channel.** The generalist premium appears in both cash and equity compensation, but it is especially strong in equity pay.
- **Interpretation.** The results support labor-market theories in which transferable CEO skills have become increasingly valuable and in which generalists can capture rents because they have outside options across firms and industries.
- **Caution.** The paper cannot fully randomize CEO-firm matches. It uses controls, fixed effects, matching-style evidence, switch regressions, and robustness tests to narrow alternative explanations.

2 Incremental contribution of the paper

- **Direct measurement of managerial human capital.** Prior CEO-pay theories often treated talent or skill as latent. This paper constructs a direct, resume-based measure of general managerial ability from observable career histories.
- **From firm-specific capital to general capital.** The paper empirically tests the Murphy–Zabojnik view that CEO pay rose partly because general managerial skills became more important than firm-specific skills.
- **New data linkage.** It combines EXECUCOMP compensation data with BoardEx career-history data to map CEOs’ positions, firms, industries, previous CEO experience, and conglomerate experience.
- **Evidence beyond levels.** The paper does not only show that generalists earn more. It studies pay components, switches in CEO type, firm task complexity, firm performance, governance subsamples, and turnover-performance sensitivity.
- **Labor-market interpretation.** By showing that the largest pay jumps occur when firms externally hire generalist CEOs after specialist CEOs, the paper ties the premium to external labor-market bidding rather than only internal promotions or fixed firm traits.
- **Boundary conditions.** It also emphasizes that generalists need not outperform specialists in every firm. Specialists may be better matches where firm-specific knowledge is important.

3 Data and measurement

3.1 CEO career histories and the General Ability Index

The paper uses BoardEx resumes to measure lifetime work experience. Five components enter the general ability construction:

- number of prior positions;
- number of firms where the CEO worked;
- number of industries in which the CEO worked;
- an indicator for prior CEO experience;
- an indicator for conglomerate experience.

The General Ability Index is the first principal component of these five standardized variables.

Interpretation: The index is designed to capture transferable managerial human capital rather than firm-specific experience. The PCA approach summarizes several correlated resume dimensions into one measure.

3.2 CEO compensation

The main compensation variables are total pay, cash pay, equity pay, and the equity-to-total-pay ratio. Total pay is analyzed in logs. Generalist Excess Pay compares a multi-industry CEO's pay to an imputed portfolio of specialist CEO pay from the industries in which the CEO has accumulated experience.

Interpretation: The Generalist Excess Pay variable is important because it asks whether a CEO with a cross-industry career earns more than a portfolio of single-industry CEOs that match the same industry experiences.

3.3 CEO type and CEO transitions

CEOs are classified as generalists if their General Ability Index is above the yearly median and specialists otherwise. For switch tests, the paper uses the 75th percentile cutoff to identify stronger switches. The switch variables distinguish external and internal hires.

Interpretation: The most informative switch is a firm replacing a specialist with an externally hired generalist, because this is closest to a market transaction for general managerial talent.

3.4 Firm and task variables

The paper controls for firm size, Tobin's q , ROA, volatility, stock returns, firm age, diversification, leverage, cash, R&D, CAPEX, governance, and industry concentration. It also studies task complexity through distress, merger activity, and industry shocks.

Interpretation: These variables ask whether the pay premium is really a general-skill premium or instead compensation for risk, governance, firm complexity, firm size, firm performance, or selection into particular firms.

4 Models and empirical specifications

4.1 General Ability Index

Let Z_{ik} denote standardized career-history component k for CEO i . The index is the first principal component:

$$GAI_i = \sum_{k=1}^5 s_k Z_{ik},$$

where s_k are PCA scoring coefficients.

Interpretation: The first component loads most strongly on the number of firms and industries, which means the index emphasizes mobility and cross-context experience.

4.2 Baseline CEO pay regression

The main specification is

$$\log(\text{Pay}_{it}) = \alpha + \beta GAI_{it} + \gamma' CEO_{it} + \delta' Firm_{it} + \lambda_t + \mu_j + \varepsilon_{it},$$

with year and industry fixed effects. Some specifications include firm fixed effects or CEO fixed effects.

Interpretation: The coefficient β measures how CEO compensation changes with a one-standard-deviation increase in general managerial ability, conditional on observed CEO and firm characteristics.

4.3 CEO pay mix regression

The paper estimates the same specification separately for cash pay, equity pay, total pay, and the ratio of equity pay to total pay.

Interpretation: This tests whether the premium is simply salary, an incentive-risk premium, or a broader compensation premium. The evidence points to a strong equity-pay component.

4.4 Switch regressions

For new CEOs, the paper estimates

$$\log(\text{Pay}_{it}) = \alpha + \beta_1 \text{SwitchToGeneralistExternal}_{it} + \beta_2 \text{SwitchToSpecialistExternal}_{it} + \dots + \text{Controls} + FE + \varepsilon_{it}.$$

Interpretation: A positive β_1 indicates that pay rises when the firm accesses the external CEO labor market to hire a generalist after having a specialist CEO.

4.5 Firm-task heterogeneity

The paper splits firms by distress, M&A intensity, and industry shocks, then tests whether the generalist premium is larger in complex environments.

Interpretation: The economic prediction is that generalists are most valuable when firms need broad, transferable skills rather than narrow firm-specific knowledge.

5 Identification and empirical design

- **Observable controls.** The regressions condition on CEO age, tenure, education, external hire status, chair status, firm size, Tobin's q , ROA, volatility, returns, firm age, and diversification.
- **Firm fixed effects.** These absorb time-invariant firm traits that could jointly attract generalist CEOs and pay high compensation.
- **CEO fixed effects.** These absorb time-invariant CEO traits such as innate talent or risk preferences, using within-CEO variation when CEOs move across generalist/specialist classifications.
- **Switch tests.** CEO type changes provide a closer comparison to the counterfactual of replacing one type of CEO with another.
- **Alternative explanations.** The paper checks pay risk, sample selection, CEO talent proxies, superstar/high-profile effects, governance, firm performance, and turnover-performance sensitivity.
- **Remaining limitation.** CEO-firm matching is not randomized. The paper provides strong evidence of a pay premium for general skills, but the allocation of CEOs to firms can still reflect unobserved time-varying matching needs.

6 Tables and figures

All figures and tables below are directly cropped from the original paper. Adjacent figures/tables are placed compactly in rows when possible.

6.1 Figure 1: CEO Total Pay and General Ability Index; Table 1: General managerial ability index: principal component analysis

Read:

- **Figure 1** plots average CEO pay and the average General Ability Index from 1993 to 2007. Total pay rises sharply during the 1990s and stabilizes above five million dollars in the 2000s.
- The average General Ability Index increases during the 1990s, consistent with a labor market shift toward general managerial skills.
- **Table 1** shows that the first principal component explains 59.7% of the variation and has eigenvalue 2.984.
- The largest loadings are on number of firms (0.931), number of industries (0.921), and number of positions (0.800), so mobility across firms and industries is central to the index.

Economic message: The paper's measurement contribution is visible here: CEO generality is not inferred from pay but constructed from work histories, giving a separate observable skill measure.

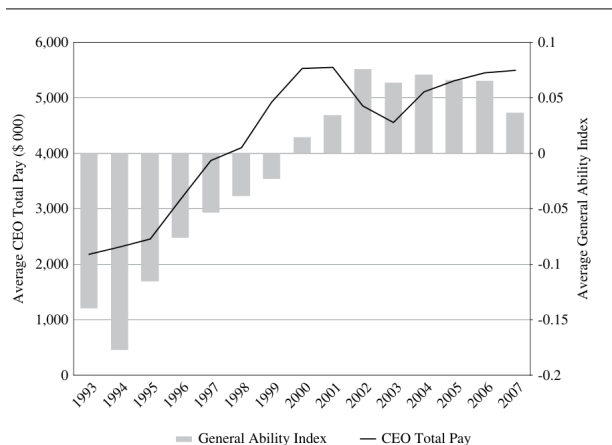


Figure 1: Average CEO Total Pay and General Ability Index. This figure presents the average General Ability Index and CEO Total Pay for the sample of EXECUCOMP firms for which CEO profile data are available from BoardEx. Variable definitions are provided in Table A1 in the Appendix.

Table 1
General managerial ability index: principal component analysis.
This table presents the results of applying principal components analysis to five proxies of general managerial ability based on a chief executive officer (CEO) past work experience (Number of Positions, Number of Firms, Number of Industries, CEO Experience Dummy, and Conglomerate Experience Dummy). Factor loadings, scoring coefficients using the regression method, and eigenvalue and proportion of variation explained by the first factor are presented. The index is calculated by applying the scores to the standardized general ability components. The index is standardized to have zero mean and a standard deviation of 1. Variable definitions are provided in Table A1 in the Appendix.

	Number of Positions	Number of Firms	Number of Industries	CEO Experience Dummy	Conglomerate Experience Dummy
Loadings	0.800	0.931	0.921	0.649	0.456
Scores	0.268	0.312	0.309	0.218	0.153
Proportion explained	0.597				
Eigenvalue	2.984				

(a) Figure 1: CEO Total Pay and General Ability Index

(b) Table 1: General managerial ability index: PCA

6.2 Table 2: CEO pay and general managerial ability by year and industry; Table 3: Summary statistics

Read:

- **Table 2** shows a positive generalist pay premium in every year. The premium rises during the 1990s, peaks around 2000, and remains above two million dollars in many later years.
- Across industries, telecom has the highest average general ability index and high CEO compensation, while finance has a lower index but still a significant generalist premium.

- **Table 3** reports mean total pay of 4.519 million dollars, mean Generalist Excess Pay of about 2.099 million dollars, and average General Ability Index normalized to zero.
- CEOs average about 55.5 years old, 8 years of tenure, and 40% are external hires.

Economic message: The descriptive evidence already suggests two facts: generalists are paid more, and the CEO labor market contains substantial variation in transferable human capital.

Table 2
Chief Executive Officer (CEO) pay and general managerial ability by year and industry

This table presents the mean CEO General Ability Index and Total Pay per year and industry (Fama and French 12 industry groups) from 1993 to 2007. The index of general managerial ability is the first factor of applying principal components analysis to five groups of general managerial ability based on a CEO past work experience (Number of Firms, Number of Industries, CEO Experience, and Conglomerate Experience). The index is standardized to have zero mean and a standard deviation of 1. Generalist CEOs are those with General Ability Index above the yearly median and specialist CEOs are those with index below the median. The sample consists of ExecuComp firms for which CEO profile data are available from BoardEx in the 1993–2007 period. All variables are winsorized at the 1st and 99th percentile values. Variable definitions are provided in Table A1 in the Appendix. *, **, *** indicates significance at the 10%, 5% and 1% level, respectively.

Panel A: By year						
Year	General Ability Index	Total Pay (\$ thousand)	Generalist Total Pay (\$ thousand)	Specialist Total Pay (\$ thousand)	Generalist Pay Premium (\$ thousand)	Generalist Excess Pay (\$ thousand)
1993	-0.140	2,178	2,579	1,776	803 ***	1,803 ***
1994	-0.177	2,310	2,834	1,900	934 ***	1,930 ***
1995	-0.115	2,459	2,963	1,987	976 ***	1,972 ***
1996	-0.076	3,105	3,859	2,473	1,386 ***	1,381 ***
1997	-0.054	3,963	4,869	2,859	2,000 ***	2,303 ***
1998	-0.039	4,999	5,956	3,171	2,805 ***	2,958 ***
1999	-0.023	6,019	6,222	3,634	2,588 ***	3,194 ***
2000	-0.014	5,522	7,240	3,823	3,417 ***	3,914 ***
2001	0.004	5,551	7,171	3,838	3,232 ***	3,656 ***
2002	0.076	4,847	6,095	3,853	2,240 ***	2,839 ***
2003	0.064	4,552	5,775	3,334	2,441 ***	2,621 ***
2004	0.071	5,103	6,424	3,843	2,581 ***	2,819 ***
2005	0.066	5,301	6,487	4,105	2,382 ***	2,879 ***
2006	0.065	5,443	6,886	4,064	2,823 ***	2,760 ***
2007	0.036	5,484	6,844	4,144	2,700 ***	2,711 ***
Panel B: By industry						
Industry	General Ability Index	Total Pay (\$ thousand)	Generalist Total Pay (\$ thousand)	Specialist Total Pay (\$ thousand)	Generalist Pay Premium (\$ thousand)	Generalist Excess Pay (\$ thousand)
Consumer nondurables	-0.047	4,431	5,913	3,171	2,743 ***	2,347 ***
Consumer durables	-0.017	3,716	4,115	3,223	792 ***	1,429 ***
Manufacturing	0.106	5,479	6,246	2,582	3,665 ***	2,853 ***
Oil, gas, and coal	-0.036	5,185	6,082	3,799	2,283 ***	2,283 ***
Chemicals	0.223	4,827	4,820	3,256	1,570 ***	2,102 ***
Business equipment	0.047	4,769	5,731	3,756	1,975 ***	2,814 ***
Telephone and television	0.472	5,963	11,085	6,409	4,676 ***	7,682 ***
Utilities	0.362	2,789	3,452	1,538	1,914 ***	1,359 ***
Wholesale and retail	-0.107	3,866	5,115	2,814	2,301 ***	2,301 ***
Healthcare and drugs	0.003	4,077	5,798	3,488	2,310 ***	2,310 ***
Finance	-0.228	5,918	6,322	4,209	2,113 ***	2,113 ***
Other	-0.016	4,957	5,584	3,488	2,096 ***	2,096 ***
Total	0.000	4,519	5,679	3,377	2,302 ***	2,099 ***

(a) Table 2: Pay and general ability by year and industry

Table 3

Summary statistics.

This table presents the mean, median, standard deviation, minimum, maximum, and number of observations for each variable. The sample consists of ExecuComp firms for which chief executive officer (CEO) profile data are available from BoardEx in the 1993–2007 period. All variables are winsorized at the 1st and 99th percentile values. Variable definitions are provided in Table A1 in the Appendix.

Variable	Mean	Median	Standard deviation	Minimum	Maximum	Number of observations
Panel A: CEO pay						
Total Pay (\$ thousand)	4,519	2,384	5,997	198	36,332	21,909
Cash Pay (\$ thousand)	1,301	939	1,214	35	7,625	21,909
Equity Pay (\$ thousand)	2,525	852	4,672	0	29,704	18,813
Generalist Excess Pay (\$ thousand)	2,099	204	5,689	-4,041	32,598	21,895
Panel B: CEO characteristics						
General Ability Index	0.000	-0.182	1.000	-1.504	7.230	21,909
Number of Positions	5,750	5,000	3,231	0.000	31,000	21,909
Number of Firms	1,775	1,000	1,902	0.000	18,000	21,909
Number of Industries	1,517	1,000	1,583	0.000	14,000	21,909
CEO Experience Dummy	0.354	0.000	0.478	0.000	1.000	21,909
Conglomerate Experience Dummy	0.739	1.000	0.439	0.000	1.000	21,909
CEO Age	55.548	56.000	7.400	29.000	92.000	20,841
CEO Tenure	7.969	6.000	7.089	1.000	57.000	20,371
External Hire Dummy	0.401	0.000	0.490	0.000	1.000	21,909
MBA Dummy	0.302	0.000	0.459	0.000	1.000	21,909
CEO – Chair Dummy	0.622	1.000	0.485	0.000	1.000	21,909
First Year as CEO Dummy	0.073	0.000	0.260	0.000	1.000	21,909
Ivy League Dummy	0.208	0.000	0.406	0.000	1.000	21,909
Recession Graduate Dummy	0.296	0.000	0.457	0.000	1.000	21,909
Fast Track Career CEO	48.323	49.000	8.315	23.000	90.000	20,043
Panel C: Firm characteristics						
Sales (\$ millions)	4,415	1,294	8,772	27	56,877	21,875
Tobin's Q	1.996	1.515	1.386	0.801	8.894	21,826
ROA	0.089	0.087	0.094	-0.298	0.361	21,408
Volatility	0.377	0.317	0.223	0.101	1.294	21,677
Stock Return	0.152	0.097	0.472	-0.775	2.208	19,414
Firm Age	23.043	18.000	19.029	0.000	82.000	21,728
Diversification Dummy	0.571	1.000	0.495	0.000	1.000	19,221
Leverage	0.230	0.217	0.182	0.000	0.828	21,793
Cash	0.132	0.059	0.167	0.001	0.751	21,871
RD	0.027	0.000	0.052	0.000	0.271	21,878
CAPEX	0.056	0.043	0.053	0.000	0.286	20,797
ROE	0.103	0.124	0.117	-1.537	1.577	21,869
Net Profit Margin	0.041	0.058	0.188	-1.320	0.410	21,864
Board Independence	0.668	0.700	0.172	0.000	1.000	15,147
Institutional Ownership Herfindahl	0.060	0.047	0.063	0.000	1.000	21,541
GMI Governance Index	9.296	9.000	2.650	1.000	18.000	17,275
Industry Sales Herfindahl	0.073	0.050	0.074	0.008	0.939	21,541

(b) Table 3: Summary statistics

6.3 Table 4: General managerial ability and CEO/firm characteristics; Table 5: CEO total pay and general managerial ability

Read:

- **Table 4** shows that generalist CEOs are older, more likely to be external hires, more likely to have MBAs, more likely to be CEO-chair, and more likely to work in larger, older, diversified firms.
- Specialist CEOs have longer tenure and slightly better accounting/stock performance in the raw comparisons, which helps rule out a simple story that generalists are paid more only because their firms perform better.
- **Table 5** is the main baseline pay table. The General Ability Index coefficient is positive and significant in OLS, firm fixed effects, and CEO fixed effects.
- The General Ability Index Dummy implies a pay premium around 19% relative to specialists.

Economic message: Table 5 is the core empirical result: after many controls and fixed effects, transferable managerial experience is associated with higher CEO compensation.

Table 4

General managerial ability and chief executive officer (CEO) and firm characteristics.

This table presents the mean of CEO and firm characteristics for the samples of generalist CEOs (those with *General Ability Index* above the yearly median) and specialist CEOs (those with *General Ability Index* above the yearly median), the associated difference, and the correlation coefficient of the *General Ability Index* with CEO and firm characteristics. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. *, **, and *** indicate significance at the 10%, 5%, and 1% levels respectively.

Variable	Generalists	Specialists	Difference	Correlation
CEO Age	56.409	54.716	1.693	***
CEO Tenure	7.200	8.749	-1.549	***
External Hire Dummy	0.458	0.345	0.114	***
MBA Dummy	0.368	0.238	0.131	***
CEO – Chair Dummy	0.692	0.553	0.139	***
Sales	7.619	6.860	0.759	***
Tobin's Q	1.949	2.043	-0.093	***
ROA	0.128	0.133	-0.005	***
Volatility	0.367	0.386	-0.019	***
Stock Return	0.146	0.157	-0.012	*
Firm Age	25.730	20.408	5.321	***
Diversification Dummy	0.635	0.505	0.130	***
Leverage	0.245	0.215	0.031	***
Cash	0.127	0.138	-0.011	***
R&D	0.029	0.025	0.004	***
CAPEX	0.053	0.060	-0.008	***

(a) Table 4: Characteristics of generalist and specialist CEOs

Table 5

Chief executive officer (CEO) total pay and general managerial ability.

This table presents estimates of ordinary least squares (OLS) and firm and CEO fixed effects panel regressions of the logarithm of CEO *Total Pay* on the *General Ability Index* and other CEO- and firm-level control variables. The *General Ability Index Dummy* takes the value of one if the *General Ability Index* is above the yearly median. The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5% and 1% levels respectively.

Variable	OLS	OLS	OLS	Firm fixed effects	CEO fixed effects	OLS	Firm fixed effects	CEO fixed effects
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
General Ability Index			0.117***	0.073***	0.094**			
			[7.881]	[5.595]	[2.411]			
General Ability Index Dummy						0.186***	0.136***	0.110***
						[7.147]	[6.509]	[3.317]
CEO Age		-0.005**	-0.007***	-0.006***	0.000	-0.007***	-0.006***	0.001
		[-2.023]	[-3.311]	[-3.304]	[0.028]	[-2.923]	[-2.990]	[0.101]
CEO Tenure		0.000**	-0.000**	0.001	0.022*	-0.007**	0.001	0.014
		[3.362]	[-2.103]	[0.684]	[1.714]	[-2.467]	[0.320]	[1.141]
External Hire Dummy		0.165***	0.124***	0.141***	-0.126	0.134***	0.151***	-0.117
		[5.963]	[4.421]	[5.915]	[-1.058]	[4.808]	[6.466]	[-0.993]
MBA Dummy		0.053**	0.025	0.050**		0.031	0.054**	
		[1.960]	[0.947]	[2.171]		[1.166]	[2.355]	
CEO – Chair Dummy		0.200**	0.169***	0.059***	0.063**	0.177**	0.063**	0.065**
		[7.093]	[6.038]	[2.850]	[2.367]	[6.273]	[3.033]	[2.458]
First Year as CEO Dummy		0.085**	0.096***	0.125***	0.188***	0.090***	0.123***	0.185***
		[2.637]	[3.012]	[4.492]	[6.362]	[2.809]	[4.431]	[6.310]
Sales (log)	0.467***	0.455***	0.434***	0.395***	0.272***	0.441***	0.305***	0.274***
	[35.064]	[33.704]	[31.752]	[14.462]	[10.830]	[32.601]	[14.475]	[10.848]
Tobin's q	0.136**	0.135**	0.128**	0.081**	0.082**	0.131**	0.081**	0.081**
	[7.905]	[8.059]	[7.693]	[6.378]	[5.369]	[7.816]	[6.344]	[5.372]
ROA	-0.941***	-0.897***	-0.826***	0.180	-0.826***	0.170	0.170	0.279
	[-5.213]	[-4.947]	[-4.585]	[1.072]	[-1.529]	[-4.665]	[-1.015]	[1.534]
ROA (<i>t</i> – 1)		-0.083	-0.037	0.031	0.564***	0.010	0.564***	0.573**
		[-0.498]	[-0.216]	[0.180]	[3.750]	[0.059]	[3.815]	[3.615]
Volatility		0.222**	0.588***	0.151**	0.033	0.118**	0.567**	0.116
		[3.180]	[12.656]	[2.378]	[0.666]	[2.250]	[10.681]	[2.250]
Stock Return		0.118**	0.121**	0.120**	0.107**	0.099**	0.126**	0.108**
		[5.118]	[5.328]	[5.700]	[5.653]	[5.588]	[5.679]	[4.917]
Stock Return (<i>t</i> – 1)		0.198**	0.198**	0.202**	0.156**	0.158**	0.155**	0.158**
		[11.051]	[11.268]	[11.602]	[9.900]	[9.792]	[11.415]	[9.850]
Firm Age		-0.001	-0.001	-0.000	-0.003	0.002	-0.000	0.001
		[-0.609]	[-0.796]	[-0.612]	[-1.393]	[0.973]	[-0.623]	[-1.546]
Diversification Dummy		-0.052*	-0.052*	-0.068**	-0.036	-0.040*	-0.059**	-0.040*
		[-1.824]	[-1.871]	[-2.483]	[-1.509]	[-1.733]	[-2.172]	[-1.383]
Number of observations	12,775	12,775	12,775	12,775	12,775	12,775	12,775	12,775
R-squared	0.477	0.493	0.503	0.748	0.799	0.499	0.748	0.799

(b) Table 5: Total pay and general managerial ability

6.4 Table 6: CEO pay mix and general managerial ability; Table 7: CEO total pay and index components

Read:

- **Table 6** decomposes pay into cash pay, equity pay, total pay, and equity-to-total pay. The general ability coefficient is positive for cash pay and much larger for equity pay.
- A one-standard-deviation increase in the index is associated with about 4% higher cash pay and 16% higher equity pay in the OLS specifications discussed in the text.
- The equity-to-total-pay result suggests that generalists receive a larger incentive component, not merely a higher fixed salary.
- **Table 7** replaces the index with the five individual components. Each component is positively associated with pay, supporting the idea that the index is not driven by a single resume variable.

Economic message: The premium is broad-based but especially linked to equity compensation, which is consistent with firms using incentive pay to attract and retain generalists with outside options.

Table 6

Chief executive officer (CEO) pay mix and general managerial ability.

Columns 1–6 present estimates of ordinary least squares (OLS) and firm and CEO fixed effects panel regressions of the logarithm of CEO *Cash Pay*, *Equity Pay*, and *Total Pay* on the *General Ability Index* and other CEO- and firm-level control variables. Columns 7–9 present estimates of a Tobit model of the ratio of CEO *Equity Pay* to *Total Pay*. The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5%, and 1% levels, respectively.

Variable	Cash Pay			Equity Pay			Total Pay			Equity/Total Pay	
	OLS	Firm fixed effects	CEO fixed effects	OLS	Firm fixed effects	CEO fixed effects	OLS	Firm fixed effects	CEO fixed effects	OLS	Firm fixed effects
General Ability Index	0.035***	0.028***	0.025**	0.161***	0.094***	0.090	0.079***	0.059***	0.086**	0.032***	0.032***
	[3.542]	[3.481]	[2.369]	[7.880]	[7.766]	[0.000]	[5.711]	[5.251]	[2.236]	[4.051]	[4.051]
CEO Age	0.002	-0.003***	-0.000	-0.019***	-0.019***	-0.004	0.001	-0.002	0.000	-0.004***	-0.004***
	[1.208]	[-2.688]	[-0.099]	[-5.567]	[-5.567]	[-0.401]	[0.726]	[-1.351]	[0.056]	[-3.442]	[-3.442]
CEO Tenure	-0.002	0.000**	0.010**	0.003	0.002	0.001	-0.001	0.008**	0.002**	0.000	0.000
	[-0.744]	[2.701]	[1.910]	[0.740]	[0.418]	[1.361]	[-0.335]	[4.692]	[1.470]	[0.000]	[0.000]
External Hire Dummy	0.080***	0.050***	0.062	0.258**	0.201**	-0.167	0.105**	0.111**	-0.029	-0.102	-0.102
	[3.906]	[3.784]	[10.657]	[9.262]	[8.471]	[-4.648]	[4.422]	[3.532]	[-1.315]	[-3.796]	[-3.796]
MBA Dummy	-0.017	-0.004	-0.004	0.006	0.019	0.011	0.009	0.020*	0.020*	0.002	0.002
	[-0.854]	[-1.275]	[-0.145]	[0.145]	[0.914]	[-0.497]	[0.438]	[1.046]	[1.046]	[0.027]	[0.027]
CEO – Chair Dummy	0.100**	0.027**	0.040**	0.175**	0.082*	0.039	0.132**	0.038*	0.027	0.027	0.027
	[5.152]	[2.607]	[2.488]	[4.158]	[1.763]	[0.870]	[3.015]	[1.481]	[1.260]	[1.721]	[1.721]
First Year as CEO Dummy	-0.136**	-0.129**	-0.080**	0.279**	0.260**	0.318**	-0.060**	0.028	0.028	0.000**	0.000**
	[-2.170]	[-2.170]	[-1.491]	[5.338]	[5.338]	[3.986]	[-1.348]	[1.275]	[1.275]	[0.444]	[0.444]
Equity Pay/Total Pay							1.019**	1.012**	1.000**		
							[67.471]	[63.776]	[63.776]		
Observations	12,741	12,741	12,741	8,006	8,006	8,006	10,986	10,986	10,986	6,075	6,075
R-squared	0.538	0.784	0.835	0.468	0.747	0.803	0.712	0.873	0.903		

(a) Table 6: CEO pay mix and general ability

we officer (CEO) total pay and general managerial ability: index components.

present estimates of ordinary least squares (OLS) and firm fixed effects panel regressions of the logarithm of CEO *Total Pay* on the individual components of general managerial ability: past Number of Firms, Number of Industries, CEO Experience Dummy, and Conglomerate Experience Dummy. The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 1% level, respectively.

Variable	Number of Firms		Number of Industries		CEO Experience Dummy		Conglomerate Experience Dummy	
	OLS	Firm fixed effects	OLS	Firm fixed effects	OLS	Firm fixed effects	OLS	Firm fixed effects
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Wty index component	0.022**	0.019**	0.013**	0.009**	0.037***	0.152***	0.102***	0.123***
	[5.111]	[3.704]	[2.591]	[2.591]	[15.205]	[16.908]	[13.871]	[13.566]
Observations	12,775	12,775	12,775	12,775	12,775	12,775	12,775	12,775
R-squared	0.486	0.747	0.802	0.748	0.300	0.748	0.487	0.747

(b) Table 7: Individual components of general ability

6.5 Table 8: New CEOs and switch of CEO type; Table 9: General managerial ability and talent

Read:

- **Table 8** focuses on newly appointed CEOs and CEO-type switches. Newly appointed generalists earn significantly more total and equity pay.
- The strongest switch result occurs when a firm switches from a specialist to a generalist through an external hire. The reverse switch does not generate a comparable positive premium.
- **Table 9** controls for alternative talent proxies: Ivy League education, graduating during a recession, and fast-track career status.
- The general ability premium survives these talent controls, making it less likely that the index only proxies for elite education or generic talent.

Economic message: These tables move the evidence closer to labor-market pricing: the premium shows up when firms actually hire and switch CEO types, and it is not eliminated by observable talent proxies.

Table 8

Chief executive officer (CEO) pay and general managerial ability: new CEOs and switch of CEO type.

Panel A presents estimates of ordinary least squares (OLS) panel regressions of the logarithm of CEO Total Pay, Cash Pay and Equity Pay on the General Ability Index using a sample of newly appointed CEOs. Panel B presents estimates of OLS panel regressions of the logarithm of CEO Total Pay, Cash Pay and Equity Pay on dummies for the switch of CEO type. A CEO is classified as a generalist if he has General Ability Index above 75th percentile in each year and as a specialist in the other cases. The switch of CEO type dummy variables are: if there is a CEO turnover but no switch of CEO type (No Switch of CEO Type); if a specialist CEO is replaced by a generalist CEO hired from outside the firm (Switch to Generalist-External Hire); if a generalist CEO is replaced by a specialist CEO hired from outside the firm (Switch to Specialist-External Hire); if a specialist CEO is replaced by a generalist CEO internally appointed (Switch to Generalist-Internal Hire); and if a generalist CEO is replaced by a specialist CEO internally appointed (Switch to Specialist-Internal Hire). The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of ExecuComp firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5%, and 1% level, respectively.

Variable	Total Pay (1)	Cash Pay (2)	Equity Pay (3)
Panel A: New CEO appointments			
General Ability Index	0.115*** [3.348]	0.031 [1.445]	0.173*** [3.119]
Number of observations	785	782	539
R-squared	0.569	0.616	0.560
Panel B: Switch of CEO type			
No Switch of CEO Type	0.061 [1.161]	−0.010 [−0.288]	0.086 [1.093]
Switch to Generalist-External Hire	0.266** [3.170]	−0.076 [−1.478]	0.432*** [3.288]
Switch to Specialist-External Hire	−0.042 [−0.333]	−0.010 [−0.093]	−0.010 [−0.046]
Switch to Generalist-Internal Hire	0.100 [1.151]	−0.066 [−1.172]	0.205* [1.766]
Switch to Specialist-Internal Hire	−0.141** [−1.976]	−0.104** [−2.130]	−0.143 [−1.400]
F-test: Switch to Generalist versus Switch to Specialist-External Hire	4.48**	0.01	3.39*
Industry dummies	Yes	Yes	Yes
Number of observations	12,775	12,741	8,906
R-squared	0.493	0.535	0.469

(a) Table 8: New CEOs and switches of CEO type

Table 9

Chief executive officer (CEO) pay, general managerial ability and talent.

Panel A presents estimates of ordinary least squares (OLS) and firm fixed effects panel regressions of the logarithm of CEO Total Pay, Cash Pay, and Equity Pay on the General Ability Index. The Ivy League Dummy takes the value of one if the CEO attended an Ivy league school at any academic level. The Recession Graduate Dummy takes the value of one if the CEO graduated in a National Bureau of Economic Research recession year based on his first academic degree. Fast Track Career CEO is the age at which a CEO became CEO for the first time. Panel B presents estimates of OLS regressions of the logarithm of Total Pay, Cash Pay, and Equity Pay in the 1993–1999 period on the general ability index in 2007. The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of ExecuComp firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, *** indicates significance at the 10%, 5%, and 1% levels, respectively.

Variable	Total Pay		Cash Pay		Equity Pay	
	OLS (1)	Firm fixed effects (2)	OLS (3)	Firm fixed effects (4)	OLS (5)	Firm fixed effects (6)
Panel A: Controlling for CEO talent						
General Ability Index	0.118*** [7.743]	0.072*** [5.439]	0.037*** [3.672]	0.030*** [3.514]	0.148*** [7.010]	0.079*** [3.294]
Ivy League Dummy	0.034 [0.885]	0.005 [0.191]	0.011 [0.446]	0.011 [0.621]	0.050* [1.891]	0.114* [1.730]
Recession Graduate Dummy	0.061*** [2.941]	0.055** [2.350]	0.027 [1.441]	0.018 [1.201]	0.047 [1.196]	0.066 [1.621]
Fast Track Career CEO	0.003 [1.140]	0.000 [0.083]	0.003 [1.426]	0.001 [1.086]	−0.008* [−1.798]	−0.006* [−1.764]
Number of observations	12,769	12,769	12,735	12,735	8,903	8,903
R-squared	0.503	0.503	0.539	0.539	0.784	0.748
Panel B: CEO pay in 1993–1999 and Generalist Ability Index in 2007						
General Ability Index			0.082*	0.045	0.086	
			[1.780]	[1.527]	[1.356]	
Number of observations	712	712	711	711	573	
R-squared	0.655	0.655	0.692	0.692	0.631	

(b) Table 9: Pay, general ability, and talent

6.6 Table 10: Firm size, diversification, and corporate governance; Table 11: Firm performance and industry shocks

Read:

- **Table 10** shows that the premium is present across small and large firms, stand-alone and diversified firms, and governance subsamples.
- The firm fixed-effects estimates are positive in many subsamples, suggesting that the premium is not only a cross-sectional governance artifact.
- **Table 11** studies new CEOs and task complexity. The generalist premium is stronger when firms face distress, high M&A activity, or industry shocks.
- These patterns support the interpretation that generalists are valuable when firms need adaptable managerial skills.

Economic message: Generalists are not just hired by large or weakly governed firms. Their premium is especially visible when the firm faces strategic complexity.

Table 10

Effect of firm size, diversification and corporate governance.

This table presents estimates of ordinary least squares (OLS) and firm fixed effects panel regressions of the logarithm of chief executive officer (CEO) *Total Pay* on the general ability index. In Panel A, the small and large firm groups consist of those firms whose Sales are below and above the yearly median, and the stand-alone and diversified firm groups consist of those firms with number of business segments equal to and above one. In Panel B, the low and high *Board Independence* and *Institutional Ownership Herfindahl* groups consist of those firms that are below and above the yearly median. In Panel C, the low and high *GM Governance Index* and *Industry Sales Herfindahl* groups consist of those firms that are below and above the yearly median. The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5%, and 1% level, respectively.

Panel A: Firm size and diversification								
Variable	Firm size				Diversification			
	Small firms		Large firms		Stand-alone firms		Diversified firms	
	OLS (1)	Firm fixed effects (2)	OLS (3)	Firm fixed effects (4)	OLS (5)	Firm fixed effects (6)	OLS (7)	Firm fixed effects (8)
General Ability Index	0.112*** (4.840)	0.064*** (2.599)	0.113*** (6.195)	0.076*** (4.658)	0.101*** (3.950)	0.033 (1.087)	0.126*** (7.840)	0.090*** (5.846)
Number of observations	5,831	5,831	6,944	6,944	4,925	4,925	7,850	7,850
R-squared	0.332	0.099	0.434	0.701	0.445	0.737	0.545	0.779
Panel B: Internal corporate governance								
Variable	Board Independence				Institutional Ownership Herfindahl			
	Low		High		Low		High	
	OLS (1)	Firm fixed effects (2)	OLS (3)	Firm fixed effects (4)	OLS (5)	Firm fixed effects (6)	OLS (7)	Firm fixed effects (8)
General Ability Index	0.133*** (6.202)	0.051** (2.115)	0.095*** (5.697)	0.067*** (3.526)	0.123*** (7.101)	0.071*** (3.666)	0.111*** (5.842)	0.069*** (3.286)
Number of observations	6,342	6,342	6,433	6,433	6,402	6,402	6,373	6,373

(a) Table 10: Size, diversification, and governance

Table 11

Effect of firm performance and industry shocks: new chief executive officers (CEOs) only.

This table presents estimates of ordinary least squares (OLS) panel regressions of the logarithm of CEO *Total Pay* on a dummy variable that takes the value of one if the *General Ability Index* is above the yearly median. The yes *Distress* firm group includes firms with return on assets below the industry median (two-digit standard industrial classification (SIC)) for two consecutive years and the no *Distress* firm group includes all other cases. The high *M&A Activity* group includes firms with acquisitions in the top quartile of the distribution and the low *M&A Activity* group includes all other cases. The high *Industry Shocks* group includes firms operating in industries in the top quartile of the distribution of the difference between industry sales growth and the average sales growth across all industries and the low *Industry Shocks* group includes all other cases. The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit SIC) fixed effects. The sample consists of newly appointed CEOs of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5%, and 1% levels, respectively.

Variable	<i>Distress Firm</i>		<i>M&A Activity</i>		<i>Industry Shocks</i>	
	Yes	No	High	Low	High	Low
	(1)	(2)	(3)	(4)	(5)	(6)
<i>General Ability Index Dummy</i>	0.225*** [2.982]	0.130** [2.323]	0.226*** [3.124]	0.150*** [2.754]	0.438*** [4.280]	0.060 [0.629]
Number of observations	522	743	402	863	283	348
R-squared	0.612	0.586	0.645	0.512	0.648	0.599

(b) Table 11: Firm performance and industry shocks

6.7 Table 12: Generalist excess pay; Table 13: Firm performance and general managerial ability

Read:

- **Table 12** uses Generalist Excess Pay rather than total pay. Multi-industry experience and the General Ability Index are positively associated with excess pay.
- This test compares generalist CEOs to an imputed portfolio of specialists from the industries in which the generalist worked.
- **Table 13** studies firm performance and finds little evidence that generalists systematically outperform specialists across net profit margin, ROE, Tobin's *q*, or stock returns.
- The absence of strong performance differences is consistent with a model in which CEOs capture much of the surplus from general skills in pay.

Economic message: These tables separate the pay premium from firm performance. Generalists are paid more, but the paper does not argue that they always increase shareholder value relative to specialists.

Table 12

Generalist excess pay and general managerial ability.

This table presents estimates of ordinary least squares (OLS) and firm fixed effects panel regressions of the *Generalist Excess Pay* on the number of industries a chief executive officer (CEO) worked (*Number of Industries*), a dummy that takes the value of one if a CEO worked in more than one industry (*Multi-Industry Dummy*), the *General Ability Index*, and a dummy variable that takes the value of one if the *General Ability Index* is above the yearly median (*Generalist Excess Pay* is defined as the logarithm of the ratio of the CEO *Total Pay* to its imputed pay from single-industry CEOs that match the CEO's past industry (four-digit standard industrial classification (SIC)) experience. The regressions include the same firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit SIC) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5%, and 1% levels, respectively.

Variable	OLS		Firm fixed effects		OLS		Firm fixed effects		OLS		Firm fixed effects	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)
<i>Number of Industries</i>	0.055*** [5.050]		0.019** [2.308]									
<i>Multi-Industry Dummy</i>				0.144*** [4.610]	0.035 [1.395]							
<i>General Ability Index</i>					0.106*** [6.573]	0.040*** [2.834]						
<i>General Ability Index Dummy</i>							0.153*** [5.381]	0.090*** [3.880]				
Number of observations	12,765	12,765	12,765	12,765	12,765	12,765	12,765	12,765	12,765	12,765	12,765	12,765
R-squared	0.338	0.670	0.336	0.670	0.341	0.670	0.337	0.671	0.338	0.670	0.337	0.671

conclude that the *General Ability Index* is thus capturing accumulated skills and not just CEO innate talent.

3.5. Cross-sectional variation in the generalist pay premium

Next we investigate whether the relation between general managerial attributes and CEO pay is heterogeneous across different types of firms. We first study the size of a firm's

in different business environments, and these firms seem to reward these managers with extra pay.¹⁵

Finally, we examine how the quality of a firm's internal and external corporate governance affects the CEO pay—general ability relation. Panels B and C of Table 1C present regressions for groups of firms depending on the fraction of independent directors on the board of directors (*Board Independence*), concentration of institutional ownership (*Institutional Ownership Herfindahl*), takeover

(a) Table 12: Generalist excess pay

Table 13

Firm performance and general managerial ability.

This table presents estimates of firm fixed effects and changes regressions of *Net Profit Margin*, *Return on Equity (ROE)*, Tobin's *q* and *Stock Return* on the *General Ability Index*. The changes regressions use the subsample of newly appointed chief executive officer (CEO) and compare the average firm performance in the three years following an appointment with the performance on the year before the appointment. The regressions include the same CEO- and firm-level control variables as in Table 5 (coefficients not shown). The regressions also include year and industry (two-digit standard industrial classification) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, **, and *** indicates significance at the 10%, 5%, and 1% levels, respectively.

Variable	<i>Net Profit Margin</i>		<i>ROE</i>		<i>Tobin's q</i>		<i>Stock Return</i>	
	Firm fixed effects	Changes	Firm fixed effects	Changes	Firm fixed effects	Changes	Firm fixed effects	Changes
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
<i>General Ability Index</i>	−0.005 [−0.907]	−0.005 [−0.373]	−0.003 [−1.458]	0.000 [0.029]	−0.005 [−0.403]	−0.022 [−0.402]	−0.008 [−1.104]	0.005 [0.234]
Number of observations	12,986	1,097	12,986	1,097	12,791	1,148	12,791	1,084
R-squared	0.355	0.105	0.655	0.140	0.770	0.121	0.470	0.204

Table 14

Chief executive officer (CEO) turnover and general managerial ability.

This table presents estimates of probit regressions of CEO turnover on the *General Ability Index* and firm performance. The measures of performance are

(b) Table 13: Firm performance and general ability

Return (abnormal stock return). The regressions also include year and industry (two-digit SIC) fixed effects. The sample consists of EXECUCOMP firms for which CEO profile data are available from BoardEx in the 1993–2007 period. Variable definitions are provided in Table A1 in the Appendix. Robust *t*-statistics adjusted for firm-level clustering are reported in brackets. *, ** and *** indicates significance at the 10%, 5% and 1% levels, respectively.

Variable	(1)	(2)	(3)	(4)
<i>General Ability Index</i>	0.075*** [4.547]	0.095*** [7.258]	0.109*** [7.813]	0.108*** [7.848]
<i>General Ability Index</i> × <i>ROA</i> (<i>t</i> − 1)	0.227* [1.739]			
<i>General Ability Index</i> × <i>Industry Adjusted ROA</i> (<i>t</i> − 1)		0.158 [1.105]		
<i>General Ability Index</i> × <i>Stock Return</i> (<i>t</i> − 1)			−0.005 [−0.168]	
<i>General Ability Index</i> × <i>Abnormal Stock Return</i> (<i>t</i> − 1)				−0.012 [−0.358]
<i>Sales</i> (<i>log</i>)	0.040*** [4.542]	0.039*** [4.471]	0.019** [2.075]	0.018** [1.997]
<i>ROA</i> (<i>t</i> − 1)	−0.885*** [−6.170]			
<i>Abnormal ROA</i> (<i>t</i> − 1)		−0.890*** [−5.987]		
<i>Stock Return</i> (<i>t</i> − 1)			−0.211*** [−6.308]	
<i>Abnormal Stock Return</i> (<i>t</i> − 1)				−0.238*** [−6.635]
Number of observations	18,575	18,575	16,741	16,741
Pseudo <i>R</i> -square	0.024	0.024	0.024	0.024

6.8 Table 14: CEO turnover and general managerial ability

Read:

- Table 14 examines whether turnover-performance sensitivity differs for generalists and specialists.
- The goal is to test whether the rise of general managerial skills is driven by differential dismissals of poorly performing CEOs.
- The results do not provide evidence that the premium is mainly a performance-induced turnover story.

Economic message: The pay premium is better interpreted as labor-market pricing of transferable skills than as a mechanical consequence of stronger performance-related CEO turnover.

7 Short summary

- The paper studies whether CEOs with broad, transferable career experience receive higher pay.
- It constructs a General Ability Index from five resume variables using principal components analysis.
- The sample covers EXECUCOMP CEOs with BoardEx career data from 1993 to 2007.
- Generalists earn about a 19% pay premium relative to specialists.
- The premium survives firm controls, CEO controls, firm fixed effects, and CEO fixed effects.
- The premium is stronger for equity pay than cash pay.
- The premium is especially strong for external hires that switch the firm from a specialist to a generalist CEO.
- Generalists are more common in larger, older, and diversified firms, but the premium is not only a size or diversification effect.
- The premium is higher when CEOs are hired for complex tasks such as restructurings and acquisitions.
- The paper finds limited evidence that generalists systematically outperform specialists, suggesting that CEOs may appropriate the surplus through pay.
- Alternative explanations based on elite education, fast-track careers, entrenchment, compensation risk, high-profile CEO effects, and sample selection do not eliminate the main result.

8 Conclusion

8.1 Core conclusion

Custodio, Ferreira, and Matos show that CEO pay is systematically related to the generality of lifetime work experience. CEOs who have accumulated transferable managerial skills across positions, firms, industries, and executive roles earn a significant premium over CEOs with more specialized career paths.

8.2 Economic intuition

General managerial skills create outside options. A CEO who can plausibly manage firms across industries has more bargaining power in the CEO labor market than a specialist whose human capital is tied to one firm or industry. Firms facing broad strategic challenges compete for these generalist CEOs, and compensation rises accordingly.

8.3 Why the result matters for CEO-pay debates

The paper contributes to the debate on rising CEO pay by showing that observable managerial human capital explains part of pay differences. The evidence supports market-based theories of executive compensation, but it does not imply that all high CEO pay reflects productive talent. The fact that generalists do not clearly outperform specialists means that the premium may reflect bargaining power and labor-market rents as much as shareholder value creation.

8.4 Limits and caveats

The evidence is not a randomized assignment of generalist and specialist CEOs to firms. Firms may select generalists when unobserved strategic needs arise. Fixed effects, switch tests, and robustness checks reduce this concern but cannot fully eliminate time-varying matching explanations. The General Ability Index also measures career breadth, not innate quality.

8.5 Takeaway

The central takeaway is that CEO skills are multidimensional. Firm-specific knowledge and general managerial capital are different assets. The modern CEO labor market appears to reward transferable general skills, especially when firms seek external leaders for complex tasks. This helps explain both the rise in CEO pay and the increasing portability of executive careers.